

2019

Bachelor in Business Administration

Course Title: **Treasure Management**

Code No: **BNK207** Semester: **8th Semester**

Full Marks: **60** Pass Marks: **24** Time: **s to meet the needs of its primary business operations. In the light of this statement, explain the role of treasury department in a company.18.Risk is an event that may cause damage to an institution's income and reputations. Explain different types of financial risk and non-financial risk of a company.**

Candidates are required to answer the questions in their own words as far as practicable.

Section A

1. The main focus of the treasury is on the financial assets and liabilities for an organization.
2. The dealers and traders constitute the back office.
3. The interest on term deposits is very low.
4. Investment, development, administrative expenses, profit distribution etc. are the uses of fund management.
5. Counterparty risk comes from non-performance of a trading partner.
6. Core deposit is an unstable base of fund that is highly sensitive to movements in market interest rates.
7. In the case of negative mismatch, the maturity of asset-comes earlier than the maturity of liabilities.
8. The larger the value of the duration, the less sensitive if the price of that asset or liability to changes in interest rates.
9. Derivatives are a category of financial instruments.
10. The Treasury bill discount rate is quoted in terms of a 365-day year.

Section B

Short Answer Questions:[6 × 5 = 30]

11. What is treasury management? Explain its function.
12. Explain, in brief, the internal and external sources of funds.
13. Describe different types of credit products of banks.
14. What is an option? Explain the types and characteristics of options.
15. Explain money market instruments that the treasury may include in its investment portfolio.
16. What are the rights, duties, and functions of Nepal Kastra Bank?

Section C

Comprehensive Answer Questions:[2 × 10 = 20]

- 17.** The treasury department ensures that a company has sufficient cash available at all times to meet the needs of its primary business operations. In the light of this statement, explain the role of treasury department in a company.
- 18.** Risk is an event that may cause damage to an institution's income and reputations. Explain different types of financial risk and non-financial risk of a company.